

Capstone Project Definition & Market Analysis

Part A: Initial Definition & Research

Rounds protocol

Rounds Protocol is a decentralized, trustless Rotating Savings and Credit Association (ROSCA) built on Solana, bringing one of the world's oldest and most universally practiced financial primitives onchain, inspired by the cooperative savings tradition commonly known as Adashe, Ajo, or Esusu across West Africa and beyond. Members join savings circles, contribute a fixed amount of USDC each cycle, and receive the full pooled treasury funds in their designated payout time, with payout time determined by circle position which is determined by join time. A sliding-scale collateral mechanism mathematically eliminating default risk, making it practically impossible for any participant to profit from dishonesty without the need for any reputation systems or trusted intermediaries. Early position holders are compensated with a contribution premium funded collectively by later participants, creating balanced economic incentives across the full savings cycle. Designed initially for crypto-native and DeFi participants, Rounds Protocol aims to evolve into programmable savings infrastructure for transparent, trust-minimized, and capital-efficient financial coordination onchain.

1) Core Value Proposition & Product-Market Fit (PMF)

Rounds Protocol transforms one of the world's oldest and most widely adopted cooperative savings systems into transparent, programmable, and trust-minimized financial infrastructure on Solana. By combining stablecoin-based savings circles with smart contract enforcement and economically aligned incentives, the protocol removes the need for interpersonal trust, manual coordination, and centralized intermediaries that traditionally govern rotating savings systems. Instead of relying on social reputation or informal enforcement, Rounds uses protocol-level incentive design and collateralization to ensure honest participation and predictable payouts.

The initial product-market fit appears strongest among crypto-native users and DeFi participants who already hold stablecoins but lack structured, low-volatility, coordination-based financial products outside of speculative trading and yield farming. Rounds introduces a new category of onchain financial coordination that blends savings, liquidity access, and community pooling into a transparent and capital-efficient system. The protocol may also appeal to globally distributed users familiar with informal savings circles who want a more reliable, borderless, and programmable alternative.

Key Value Areas

1. Trust-Minimized Savings Coordination

Rounds removes the reliance on social trust, manual enforcement, and intermediaries by using smart contracts and collateralized incentive mechanisms to coordinate savings cycles transparently onchain.

2. Capital Access Without Traditional Lending

Participants can access pooled liquidity earlier in the savings cycle without using conventional debt markets, credit scoring systems, or centralized lenders, creating an alternative model for short-term liquidity coordination.

3. Programmable and Transparent Financial Infrastructure

By bringing ROSCA systems onchain using USDC settlement and smart contract automation, Rounds enables globally accessible, auditable, and composable savings infrastructure that can integrate with broader DeFi ecosystems over time.

2) Key Target Markets

Key Target Demographics / Market Segments

1. Crypto-Native Stablecoin Users

Users who already hold and transact with stablecoins such as USDC within the broader DeFi ecosystem represent the most immediate target market for Rounds Protocol. These users are familiar with wallets, smart contracts, and onchain finance, but many existing DeFi products primarily revolve around speculation, trading, leverage, or yield farming. Rounds offers a more structured and predictable financial coordination mechanism centered around savings cycles and liquidity access rather than market speculation.

Why this market fits:

- Existing familiarity with onchain tools
- Lower onboarding friction
- Demand for alternative non-speculative financial products
- Already comfortable with USDC-based financial activity

2. DeFi Users Seeking Structured Liquidity Access

A major market segment includes users who periodically need access to lump-sum liquidity but do not want to interact with traditional lending protocols or overcollateralized debt systems such as Aave or Compound. Rounds provides an alternative liquidity coordination mechanism where users can receive access to pooled funds through rotating payout cycles instead of borrowing through formal lending markets.

Why this market fits:

- Avoids traditional borrowing complexity
- No credit scoring systems required
- Potentially more intuitive than lending protocols
- Appeals to users seeking predictable liquidity coordination

3. Digitally Coordinated Savings Communities

This segment includes internet-native groups and digitally organized communities that already coordinate pooled funds informally through chats, spreadsheets, fintech apps, or trusted organizers. Examples include online investment groups, DAO communities, creator collectives, diaspora savings groups, and gaming communities.

Rounds Protocol can provide these groups with:

- transparent contribution tracking,
- automated payout logic,
- reduced trust dependence,
- and programmable financial coordination.

Why this market fits:

- Existing behavior already mirrors ROSCA coordination
- Online communities increasingly manage shared capital
- Blockchain removes geographic and trust barriers
- Smart contracts simplify administration and enforcement

4. Users in Emerging Markets Familiar with Informal Savings Systems

Many individuals in emerging markets already participate in traditional rotating savings systems such as Adashe, Ajo, Esusu, Susu, Chit Funds, Hui, and Tandas. These systems are culturally established and widely understood but often suffer from trust failures, manual coordination inefficiencies, fraud risks, and geographic limitations.

Rounds modernizes this behavior using:

- stablecoin settlement,
- transparent smart contracts,
- and automated payout enforcement.

Why this market fits:

- Existing behavioral familiarity with ROSCA systems
- Strong demand for stable-value savings mechanisms
- Banking limitations and inflation concerns
- High adoption potential for mobile-first financial coordination

5. DAO Treasuries and Onchain Communities

Over time, decentralized autonomous organizations (DAOs) and onchain-native communities may use Rounds as programmable treasury coordination infrastructure. Smaller DAOs or contributor groups could use rotating payout systems for contributor advances, operational liquidity coordination, or community treasury distribution.

3) Competitor Landscape

Rounds Protocol operates across multiple overlapping sectors including decentralized finance (DeFi), digital savings platforms, cooperative finance systems, and onchain financial coordination. As a result, its competitors include both direct blockchain-based alternatives and indirect systems that already solve portions of the same user problem.

1. DeFi Lending Protocols

Aave

Aave is one of the largest decentralized lending markets, allowing users to lend and borrow crypto assets through overcollateralized loans.

Why It Competes With Rounds

- Provides access to liquidity
- Stablecoin-based financial activity
- Trusted DeFi infrastructure
- Familiar to crypto-native users

Potential Weaknesses

- Requires overcollateralization to borrow
- Complex for non-advanced users
- Primarily optimized for leverage and speculation
- Interest rates fluctuate dynamically
- Does not support cooperative pooled savings behavior
- Users interact as isolated borrowers rather than coordinated participants

Rounds Differentiation

Rounds focuses on structured liquidity coordination through rotating savings pools rather than debt markets, potentially offering a more predictable and socially intuitive financial model.

Compound

Compound enables decentralized borrowing and lending through algorithmic interest rate markets.

Why It Competes With Rounds

- Stablecoin borrowing and yield generation
- Existing DeFi user base

- Alternative source of liquidity access

Potential Weaknesses

- Lending-centric rather than savings-centric
- High emphasis on collateralized debt
- Limited appeal for users seeking structured savings coordination
- Does not address trust failures in group-based financial coordination

Rounds Differentiation

Rounds introduces a coordination-based savings model where users rotate access to pooled liquidity without directly entering debt positions.

2. Fintech Savings Platforms

PiggyVest

PiggyVest is a popular fintech savings platform focused on automated savings and investment products.

Why It Competes With Rounds

- Savings-focused user behavior
- Structured contribution systems
- Appeals to users seeking disciplined financial management

Potential Weaknesses

- Centralized custody and platform control
- Limited transparency into treasury operations
- Restricted interoperability with onchain ecosystems
- Primarily individual savings-oriented
- No trustless or programmable pooled savings coordination

Rounds Differentiation

Rounds enables transparent, smart contract-enforced pooled savings coordination with permissionless participation and onchain composability.

Cowrywise

Cowrywise provides digital savings and investment infrastructure through centralized fintech rails.

Why It Competes With Rounds

- Targets disciplined savings behavior
- Mobile-first financial coordination
- Appeals to younger digitally native users

Potential Weaknesses

- Centralized infrastructure

- Geographic and regulatory limitations
- No decentralized coordination or pooled treasury mechanics
- Lacks programmable financial infrastructure

Rounds Differentiation

Rounds positions savings coordination as open financial infrastructure rather than a custodial fintech service.

3. Informal ROSCA Systems

Traditional Adashe / Ajo / Esusu / Susu Groups

Traditional rotating savings systems remain one of the most important indirect competitors because they already solve the core behavioral need that Rounds targets.

Why They Compete With Rounds

- Deep cultural familiarity
- Proven long-term adoption
- Social accountability mechanisms
- Low technological barriers

Potential Weaknesses

- Depend heavily on interpersonal trust
- Vulnerable to organizer fraud and participant default
- Manual contribution and payout coordination
- Difficult to scale across borders
- No transparent auditability
- Administrative overhead increases with group size

Rounds Differentiation

Rounds attempts to preserve the financial utility of ROSCAs while replacing social trust enforcement with transparent smart contract-based coordination and economically aligned incentives.

4. Multi-Sig Treasury & DAO Coordination Tools

Safe

Safe provides multi-signature treasury management infrastructure for DAOs and crypto organizations.

Why It Competes With Rounds

- Treasury coordination
- Shared financial management
- Onchain organizational finance

Potential Weaknesses

- Built primarily for treasury custody rather than rotating liquidity coordination
- Requires manual governance coordination
- No native savings-circle or payout-cycle mechanics
- Limited automation for structured pooled savings

Rounds Differentiation

Rounds introduces automated rotating payout systems and incentive-aligned savings coordination directly at the protocol layer.

5. Informal Digital Coordination Channels

WhatsApp and Telegram Savings Groups

Many savings groups today coordinate entirely through messaging applications, spreadsheets, or trusted administrators.

Why They Compete With Rounds

- Extremely low onboarding friction
- Existing user familiarity
- Widely adopted communication infrastructure

Potential Weaknesses

- No automated enforcement
- High trust dependency
- No transparent treasury visibility
- Manual accounting and payout management
- Fraud and default risks remain high
- Difficult dispute resolution

Rounds Differentiation

Rounds automates enforcement, treasury management, contribution tracking, and payout coordination directly through smart contracts.

6. Emerging Onchain Coordination Protocols

CircleFund

CircleFund experiments with decentralized trust networks and social financial coordination.

Why It Competes With Rounds

- Community-based financial coordination
- Alternative decentralized economic systems
- Onchain social-financial infrastructure

Potential Weaknesses

- Heavy reliance on social trust graphs
- Experimental economic design
- Less intuitive financial use case
- No structured rotating savings coordination

Rounds Differentiation

Rounds focuses on deterministic savings coordination secured through incentive design rather than social trust networks.

Strategic Competitive Insight

The strongest competitors to Rounds may not be traditional DeFi protocols alone, but rather:

- informal savings systems,
- messaging-based coordination,
- fintech savings apps,
- and existing user habits.

Most DeFi protocols optimize for:

- speculation,
- leverage,
- trading,
- and capital markets.

Rounds instead targets:

- predictable savings coordination,
- pooled liquidity access,
- and non-speculative financial participation.

Its primary strategic differentiation lies in converting historically trust-dependent cooperative finance systems into transparent, programmable, and economically enforced onchain infrastructure.

AI Analysis: AI missed CircleFund App which I put above

4) Founder-Market Fit (FMF)

My founder-market fit for Rounds Protocol comes from the combination of my blockchain development background, my experience within the Solana ecosystem, and my understanding of cooperative savings systems such as Adashe, Ajo, and Esusu. Over time, I have developed a strong interest in decentralized coordination systems, onchain financial infrastructure, and how blockchain technology can be used to modernize real-world financial behaviors rather than creating purely speculative applications.

As a builder in the Solana ecosystem, I already have experience working with smart contracts, wallets, stablecoins, and decentralized application architecture. Much of my previous work and research has focused on community-driven systems, decentralized finance, and blockchain-based coordination mechanisms, which naturally aligns with the core ideas behind Rounds Protocol. This gives me both the technical foundation and ecosystem familiarity needed to design and build the protocol effectively.

What particularly motivated this project is the realization that rotating savings systems are already one of the most widely adopted financial coordination mechanisms globally, especially across emerging markets. Rather than inventing an entirely new financial behavior, I see an opportunity to bring an already proven and culturally established system onchain using transparent smart contract enforcement and programmable financial logic. I believe this positioning gives me a unique perspective between traditional cooperative finance systems and crypto-native financial infrastructure, allowing me to identify problems and opportunities that may be overlooked by founders coming solely from either traditional fintech or purely speculative DeFi backgrounds.

Part B: Adversarial Analysis & Refinement

1) Adversarial AI Task

Why Rounds Protocol may not be a true blue ocean:

1. The market exists but adoption is the hard problem, not the technology. The most dangerous competitor to Rounds Protocol is not another protocol — it is inertia. Informal ROSCAs work well enough for most participants within trusted social circles. The question is not whether Rounds is technically superior — it clearly is — but whether the target user feels enough pain from the current system to switch. DeFi-native users may not participate in ROSCAs at all. ROSCA participants may not be in DeFi. The Venn diagram overlap between "people who do ROSCAs" and "people comfortable locking USDC in a Solana smart contract" may be smaller than the market analysis assumes.

2. The collateral requirement is a structural barrier that competitors do not have. Every competitor listed — WhatsApp groups, PiggyVest, traditional Ajo circles — requires zero upfront collateral. Rounds Protocol requires position 1 to lock \$900 to join a \$100/month circle. This is not a UX problem. It is a fundamental economic ask that informal systems never make. A user familiar with Ajo does not lock capital upfront — they just contribute monthly. This friction could prevent adoption from the very users whose behaviour Rounds is trying to improve.

3. The blue ocean framing may be premature — similar attempts exist or have existed. Several projects have attempted onchain ROSCAs or rotating savings coordination with limited traction. The fact that none have achieved scale is not evidence of a gap — it may be evidence of a structural market challenge. Projects like Groundup Finance, Bloom Protocol, and community savings DAOs have explored adjacent territory. The absence of a dominant player does not automatically mean the market is wide open — it may mean the market has repeatedly rejected the solution.

4. Competitors that were overlooked:

Esusu (esusu.org) — A US-based fintech that digitizes rotating savings groups specifically for credit building among underserved communities. Directly targets the same behavioral category. Has raised significant venture capital and has real traction. This is the most direct competitor that was missed by the initial AI analysis.

Lemma Finance — Explored onchain cooperative savings mechanics on EVM chains. Directly in the same design space as Rounds.

Bloom Protocol — Attempted decentralized credit and savings coordination for underserved markets.

Chamasoft, Chamaa App, M-Changa — Several African fintech applications specifically digitize Chama and ROSCA coordination with established real user bases across East Africa.

PiggyVest Flex — PiggyVest's group savings feature allows coordinated group savings among trusted participants — meaningfully closer to Rounds than the basic PiggyVest individual savings product.

Kuri App — A mobile application specifically built for digital ROSCAs operating in Latin America with real users and traction in the Tanda and Cundina savings market.

Groundup Finance — Attempted blockchain-based cooperative savings and credit coordination for emerging markets.

CircleFund — Experiments with decentralized trust networks and social financial coordination onchain. Identified through independent manual research and not surfaced by initial AI analysis.

5. The DeFi positioning may attract the wrong user. DeFi-native users optimize for yield, leverage, and capital efficiency. A structured savings circle with locked collateral and fixed monthly contributions is the opposite of what most DeFi users want — they want liquidity, not lockups. The product may fall between two stools — too complex and collateral-heavy for ROSCA participants, too structured and low-yield for DeFi users.

6. Regulatory risk is underaddressed. Pooling user funds in a smart contract and coordinating payouts could attract regulatory scrutiny in multiple jurisdictions — potentially classified as an unregistered investment scheme, money service business, or collective investment vehicle depending on the jurisdiction. This risk is not mentioned anywhere in the current analysis.

Response to the Yield Critique — Post-MVP Roadmap Context

The adversarial critique in point 5 raises a legitimate concern against the MVP in isolation but becomes significantly weaker when the full protocol vision is considered. Rounds Protocol's post-MVP design routes all locked collateral into Kamino — Solana's largest lending protocol — where it earns approximately 7.5% APY continuously while locked. This is the very next feature to be built immediately following the MVP and fundamentally changes the competitive positioning in three important ways.

Productive collateral, not idle lockup. A DeFi user locking \$900 as collateral is not sacrificing yield — they are earning yield on that \$900 the entire time it is locked. The collateral works simultaneously in two directions: securing the circle against default and generating passive returns.

This mirrors how collateral functions in protocols like Aave where deposited assets earn yield even while posted as collateral — a pattern DeFi users already understand and actively seek.

A yield product with a savings coordination structure. Most DeFi yield products are passive — deposit, wait, withdraw. Rounds adds a coordination and savings layer on top of yield generation. Members are not just earning yield — they are also accessing a rotating lump sum, disciplining their savings behaviour, and participating in a structured financial cycle. This combination is genuinely differentiated even within the existing DeFi yield landscape.

Direct answer to "why not just use Kamino directly." A user could deposit USDC into Kamino alone and earn yield without the ROSCA structure. But they would never access a lump sum larger than their individual deposit. Rounds Protocol delivers yield on locked collateral AND access to a pooled pot that is a multiple of the individual contribution — something no isolated yield protocol can offer.

With the yield layer included, the critique shifts from *"too structured and low-yield for DeFi users"* to *"a yield-bearing savings coordination primitive offering structured liquidity access, passive yield on locked collateral, and a non-speculative financial product — none of which existing yield protocols provide in combination."*

The honest caveat is that this yield layer is post-MVP. The initial product launch will face this critique until Kamino integration ships — which represents a timing risk that must be acknowledged and managed through rapid post-launch development.

New competitive angle unlocked by the yield layer. The yield integration also surfaces a new category of indirect competitor not identified in the original analysis — yield aggregators and liquid staking protocols on Solana including Kamino itself, MarginFi, and Sanctum. These protocols compete for the same idle USDC that Rounds routes through its collateral vault. The differentiation is that Rounds uses yield as a component of a broader savings coordination product rather than as the end product itself. Yield is the engine, not the destination.

Full Analysis of Adversarial Critiques. What Is Valid, Partially Valid, and Less Valid

Valid must be addressed in refinement:

The Esusu, Kuri, Chamasoft, and PiggyVest Flex competitors are real, have traction, and were genuinely missed in the initial analysis. The competitor landscape section must be updated to include them with honest competitive assessment.

The collateral friction point is structurally real. Every informal ROSCA competitor requires zero upfront collateral lock. Rounds Protocol makes an economic ask that the market has never previously required of ROSCA participants. This is acknowledged and partially addressed through the contribution premium paid to position 1, but it remains the most significant adoption barrier and must be named honestly in the refined value proposition.

The Venn diagram problem — the actual overlap between people who participate in ROSCAs and people comfortable with Solana smart contracts — is the central PMF risk for the protocol. It is not fatal but it is real, and it defines why the initial target market must be crypto-native users specifically rather than traditional ROSCA participants. The target market section must reflect this more precisely.

Regulatory risk is a genuine gap in the current analysis. Pooling user funds onchain across jurisdictions creates real legal exposure that has not been addressed. This must be acknowledged in the refined proposal even if full legal analysis is beyond the scope of this document.

Partially valid — acknowledged with context:

The "DeFi users want yield not lockups" critique is fair against the MVP in isolation but overstated against the full protocol vision. The post-MVP Kamino yield integration directly addresses this concern. A growing and identifiable segment of DeFi users is actively seeking non-speculative, structured financial products — Rounds targets that segment specifically. The critique is a timing risk, not a fundamental product flaw.

Prior failed attempts in the onchain ROSCA space are worth noting and taking seriously. However, failed prior attempts are not conclusive evidence of market rejection — execution quality, timing, chain selection, and user experience each contribute significantly to outcomes. Rounds Protocol benefits from building on Solana at a moment of significantly higher DeFi user maturity than earlier attempts faced.

Less valid — noted but not adopted:

The inertia argument is real but applies universally to every fintech product ever built. It is a go-to-market challenge, not a reason to question the product's validity. Every successful fintech product has overcome inertia from incumbent informal or formal systems. This critique informs distribution strategy rather than product design.

2) Refine Project Definition:

Refined Value Proposition & PMF

Final Refined Version:

Rounds Protocol's core value proposition is the trustless, mathematically enforced coordination of a financial behaviour that already exists at proven global scale. ROSCAs move an estimated \$100 billion annually through informal networks built entirely on personal trust — a model that works within tight social circles but breaks down at any distance, scale, or between strangers. Rounds Protocol replaces that social trust with a sliding-scale collateral mechanism enforced by Solana smart contracts, making it impossible for any participant to profit from defaulting at any point in the savings cycle.

Three key value areas define the proposition. First, trust elimination — enabling savings circles between strangers for the first time by making honesty the only rational economic choice, without relying on reputation systems or trusted intermediaries. Second, incentive alignment — ensuring every position in the cycle is economically worthwhile through sliding-scale collateral sizing and a contribution premium paid collectively by later participants to early position holders. Third, composable savings infrastructure — introducing ROSCA coordination logic as a programmable DeFi primitive that serves as a base layer for broader savings, liquidity access, and community finance coordination onchain.

Product-market fit is strongest initially with crypto-native and DeFi participants on Solana who already hold and transact in USDC, understand collateral mechanics, and are actively seeking non-

speculative, structured financial products outside of trading and yield farming. This segment is prioritized deliberately — it represents the sharpest overlap between people technically capable of using the protocol and people who experience the coordination failures Rounds solves. The broader population of traditional ROSCA participants represents a longer-term expansion market as onchain onboarding friction decreases.

An important structural barrier is acknowledged honestly: Rounds Protocol requires upfront collateral that no informal ROSCA competitor asks for. This is the deliberate trade-off the protocol makes to achieve trustlessness — collateral replaces social enforcement. For the MVP, this cost is partially offset by the contribution premium paid to early position holders. Post-MVP, locked collateral will be routed into Kamino Finance to earn approximately 7.5% APY continuously, transforming the collateral lockup from a pure cost into a productive yield-generating position. This yield layer is the most immediate post-MVP development priority and directly addresses the capital efficiency concern for DeFi-native users.

Regulatory risk is acknowledged as an open variable. Coordinating pooled user funds onchain across jurisdictions may attract scrutiny depending on how the protocol is classified in specific regulatory environments. This risk will be monitored and legal counsel engaged as the protocol approaches mainnet launch.

Rationale for Changes:

The original value proposition did not acknowledge the collateral friction point honestly. It has been added explicitly because the adversarial analysis correctly identified it as the most significant adoption barrier. Ignoring it in the proposal would weaken credibility. Naming it and explaining the design rationale — collateral replaces social enforcement — is a stronger position than pretending the barrier does not exist.

The original PMF section overstated the overlap between traditional ROSCA participants and crypto-native users. The refined version separates these into a primary market (crypto-native DeFi users) and a longer-term expansion market (traditional ROSCA participants), which is more honest and more defensible.

The yield layer has been added as a named post-MVP priority because it directly responds to the "too low-yield for DeFi users" critique and materially changes the competitive positioning. Omitting it from the value proposition would underrepresent the full protocol vision.

Regulatory risk has been added because the adversarial analysis correctly identified its complete absence from the original analysis. Acknowledging it is more credible than ignoring it.

Refined Target Markets

Final Refined Version:

1. Crypto-Native Stablecoin Users on Solana (Primary — MVP Target) Users who already hold and transact with USDC within the Solana DeFi ecosystem represent the most immediate and accessible target market for Rounds Protocol. These users have existing wallet infrastructure, understand collateral mechanics, and are comfortable with smart contract interactions. Critically, this segment represents the sharpest Venn diagram overlap between people technically capable of using the protocol and people who experience the coordination and trust failures Rounds solves.

Many existing DeFi products in this segment revolve around speculation, leverage, and yield farming — Rounds offers a structured, predictable, non-speculative alternative.

2. DeFi Users Seeking Non-Speculative Structured Products A growing and identifiable segment of DeFi users is actively moving away from pure speculation toward structured, lower-volatility financial products. This includes users who have experienced losses from speculative DeFi and are seeking more predictable financial coordination mechanisms. Rounds Protocol serves this segment with fixed contribution cycles, guaranteed payout sequencing, and — post-MVP — yield on locked collateral through Kamino integration. This segment values capital efficiency and transparency over high-risk returns.

3. Digitally Coordinated Savings Communities Internet-native groups that already coordinate pooled funds informally through messaging applications, spreadsheets, and trusted administrators represent a natural transition market. This includes DAO communities, creator collectives, online investment groups, and diaspora savings communities operating digitally. These groups already exhibit ROSCA-like financial behaviour — they simply do so without enforcement, transparency, or automation. Rounds Protocol provides smart contract enforcement, automated payout logic, transparent contribution tracking, and elimination of administrator trust dependency. The transition ask for this segment is behavioral upgrade rather than behavioral change.

4. African and Emerging Market Diaspora Communities (Expansion Market) Communities with deep cultural familiarity with rotating savings systems — including West African, South Asian, Latin American, East African, and Caribbean diaspora populations — represent a significant expansion market as onchain onboarding friction decreases. These communities already practice ROSCA coordination at scale but face persistent trust failures, geographic limitations, and fraud risk in informal systems. Rounds Protocol modernizes this behaviour using stablecoin settlement and smart contract enforcement. This segment is deliberately positioned as an expansion market rather than a primary MVP target because the crypto onboarding friction remains a meaningful barrier for users not already in DeFi.

5. DAO Treasuries and Onchain Communities (Long-Term) Decentralized autonomous organizations and onchain-native contributor groups represent a longer-term institutional target market. Smaller DAOs and contributor collectives could use Rounds for contributor advance coordination, operational liquidity rotation, and community treasury distribution through programmable rotating payout cycles. This segment becomes accessible as the protocol matures and composability with existing DAO tooling is developed.

Rationale for Changes:

The original target market analysis treated all five segments as roughly equivalent in priority. The refined version introduces explicit prioritization — Primary MVP target, Expansion market, and Long-term — because the adversarial analysis correctly identified that not all segments are equally accessible at launch. The Venn diagram problem demands that the MVP focus tightly on users already in DeFi rather than attempting to simultaneously onboard traditional ROSCA participants who are not yet crypto-native.

The diaspora and emerging market segment has been repositioned from a primary market to an expansion market. This is the most significant structural change and reflects honest assessment of the onboarding friction barrier for users not already holding USDC in a Solana wallet.

The non-speculative DeFi user segment has been expanded and more precisely defined because the adversarial analysis confirmed this is where the most credible initial PMF lies.

Refined Competitor Landscape

Final Refined Version:

Category 1 — DeFi Lending Protocols

Aave and Compound Both protocols provide decentralized liquidity access through overcollateralized lending markets. They compete with Rounds in the sense that they serve users seeking onchain liquidity without traditional banking — but through debt mechanics rather than savings coordination. Key weaknesses remain: both require overcollateralization, optimize for speculation and leverage rather than savings behaviour, and provide no cooperative pooled savings mechanism. Users interact as isolated borrowers rather than coordinated participants. Rounds differentiates through rotating savings coordination as an alternative liquidity access model that does not require users to enter debt positions.

Category 2 — Fintech Savings Platforms

PiggyVest and PiggyVest Flex The basic PiggyVest product targets individual disciplined savings behaviour through centralized custody. More relevant to Rounds is PiggyVest Flex — a group savings feature allowing coordinated pooled savings among trusted participants. This is meaningfully closer to Rounds than the individual savings product and was not captured in the initial analysis. Key weaknesses: centralized custody, no smart contract enforcement, trust dependency on participants and platform, no permissionless participation, no onchain composability.

Cowrywise Digital savings and investment infrastructure through centralized fintech rails. Competes on savings behaviour but not on cooperative coordination mechanics. Same centralization weaknesses as PiggyVest.

Category 3 — Direct ROSCA Digitization Competitors

Esusu (esusu.org) — Most direct competitor identified through adversarial analysis. A US-based fintech that digitizes rotating savings groups with a specific focus on credit building for underserved communities. Has raised significant venture capital and has real user traction. Key weaknesses: centralized infrastructure, geographic focus on the US market, no onchain composability, no trustless enforcement mechanism, requires platform trust.

Kuri App — A mobile application built specifically for digital ROSCAs operating in Latin America with real users in the Tanda and Cundina savings market. Key weaknesses: centralized, geographically limited, no smart contract enforcement, no onchain integration.

Chamasoft and M-Changa — East African fintech applications digitizing Chama and ROSCA coordination with established user bases. Key weaknesses: centralized, regionally limited, no DeFi integration, trust-dependent administration.

Category 4 — Informal and Messaging-Based Systems

Traditional Adashe, Ajo, Esusu, Susu, Tanda, Hui Groups The most important indirect competitor — proven, culturally embedded, and operating at \$100 billion annually in estimated global volume. Key weaknesses: total dependence on interpersonal trust, vulnerable to organizer fraud and

participant default, manual coordination, no transparency or auditability, geographic limitation to known social circles. Rounds attempts to preserve the financial utility of ROSCAs while replacing social enforcement with protocol-level incentive design.

WhatsApp and Telegram Savings Groups Messaging-based coordination represents extremely low-friction informal competition. Key weaknesses: no automated enforcement, complete trust dependency, no treasury transparency, manual accounting, high fraud and default risk. Rounds differentiates through full automation, smart contract enforcement, and transparent onchain treasury tracking.

Category 5 — Onchain Coordination Protocols

CircleFund — Identified through independent manual research, not surfaced by initial AI analysis. Experiments with decentralized trust networks and social financial coordination onchain. Key weaknesses: heavy reliance on social trust graphs, experimental economic design, no structured rotating savings coordination. Rounds differentiates through deterministic savings coordination secured by incentive design rather than social trust networks.

Lemma Finance and Bloom Protocol — Both explored onchain cooperative savings mechanics with limited traction. Relevant as prior art demonstrating the design space has been attempted. Neither achieved meaningful scale — attributed to execution quality, chain selection, and timing rather than fundamental market rejection.

Category 6 — Yield Aggregators and Lending Protocols (Post-MVP Indirect Competitors)

Kamino Finance, MarginFi, Sanctum Identified as a new competitive category through adversarial analysis of the yield layer. These protocols compete for the same idle USDC that Rounds routes through its collateral vault post-MVP. Key differentiation: Rounds uses yield as a component of a broader savings coordination product rather than as the end product. A user depositing USDC into Kamino alone earns yield but never accesses a lump sum larger than their individual deposit. Rounds delivers yield on locked collateral and access to a pooled pot that is a multiple of the individual contribution — a combination no isolated yield protocol offers.

Category 7 — Multi-Sig Treasury and DAO Tools

Safe (formerly Gnosis Safe) Multi-signature treasury management infrastructure for DAOs and crypto organizations. Competes in the treasury coordination space but is built for custody rather than rotating liquidity coordination. No native savings circle or payout cycle mechanics. No automation for structured pooled savings. Rounds differentiates through automated rotating payout logic and incentive-aligned savings coordination at the protocol layer.

Rationale for Changes:

Four new competitors have been added that were absent from the original analysis: Esusu, Kuri, Chamasoft and M-Changa, and PiggyVest Flex. These are real, operational products with user traction that compete directly with Rounds in the ROSCA digitization space. Their absence from the original analysis was a meaningful gap that the adversarial process correctly identified.

A new competitive category has been added — yield aggregators — because the post-MVP Kamino integration creates indirect competitive overlap with Solana lending protocols that was not present in the original analysis.

The competitor framing has been sharpened throughout to distinguish between direct behavioral competitors (ROSCA digitization tools) and indirect structural competitors (DeFi lending, DAO tooling) — making the competitive landscape easier to navigate and more analytically honest.

3) Critique & Refine FMF:

Final Refined Version:

My founder-market fit for Rounds Protocol is grounded in three converging areas: hands-on blockchain development experience within the Solana ecosystem, firsthand familiarity with the cultural and practical dynamics of cooperative rotating savings systems, and a perspective that sits at the intersection of traditional community finance and crypto-native DeFi infrastructure — a combination that is rare and directly relevant to what Rounds Protocol is building.

On the technical side, I am currently completing a blockchain development program within an industry-recognized cohort whose curriculum spans smart contract architecture, decentralized application design, and Solana ecosystem tooling including the Anchor framework, SPL tokens, and program-derived account design. This institutional context is relevant — my technical capabilities have been assessed and developed within a structured environment with access to experienced mentorship and peer review. The protocol architecture behind Rounds — including the sliding-scale collateral mechanism, the payment bitmask design, the PDA account structure, and the nine-instruction state machine — reflects applied Solana development knowledge rather than theoretical familiarity.

On the market side, my understanding of rotating savings systems is not purely academic. Cooperative savings coordination through Adashe, Ajo, and Esusu is a lived cultural reality in the communities I come from — I have observed these systems operate, seen the trust failures that occur when participants default or organizers disappear with funds, and understood firsthand why people continue to use them despite these risks. This direct exposure shaped several of the core design decisions in Rounds Protocol that a purely DeFi-native founder would likely have missed. The decision to make defaulting mathematically irrational rather than socially punished, the contribution premium that compensates position 1 for taking the highest-risk slot, and the deliberate choice to keep the protocol mechanics as close as possible to how informal ROSCAs already work — these came from understanding the behavior being upgraded, not just the technology being applied.

The dual perspective this creates — between the cultural mechanics of community savings coordination and the technical mechanics of onchain financial infrastructure — is the specific founder advantage I bring to this problem. Most DeFi founders approach financial primitives from a capital markets frame. Most fintech founders approach ROSCA digitization from a centralized app frame. Rounds Protocol sits in neither category — it is a trustless, programmable, collateral-enforced coordination primitive, and building it correctly requires understanding both the financial behavior it is serving and the onchain architecture required to make that behavior trustless. I am building at that intersection deliberately.

My network relevant to this project spans active DeFi and Solana developer communities through the cohort and broader ecosystem engagement, as well as personal and community connections to individuals who currently participate in informal rotating savings circles. The latter is particularly

relevant for early adoption — the first circles on Rounds Protocol do not need to be recruited from cold. They can come from communities where the behavior already exists and where the problem of trust failure is already felt.

Rationale for Changes

The original FMF paragraph made general claims without concrete evidence. Every claim in the refined version is either evidenced with a specific example or explained with a concrete design decision that demonstrates the claimed insight.

The cohort has been named explicitly as an institutional credibility signal. The original paragraph omitted this entirely despite it being one of the strongest validation signals available — an industry-recognized program whose curriculum directly maps to the technical requirements of the project.

The cultural familiarity claim has been strengthened from general awareness to firsthand community exposure, and three specific protocol design decisions have been cited as direct outputs of that perspective — the mathematical default disincentive, the contribution premium, and the behavioral continuity with informal ROSCA mechanics.

The network claim has been added because the original paragraph had none. Two distinct network segments are identified — the developer community through the cohort, and personal community connections to existing ROSCA participants — because both are relevant to different aspects of the project's success.

The "unique perspective" claim has been validated by showing the thinking it produced rather than simply asserting it exists. The differentiation from both pure DeFi founders and pure fintech founders is made explicit with a direct explanation of why neither frame alone produces the right protocol design.